Earnings update

Tesla Q3 2026: margins recover, the valuation still rides on AI

22 October 2026 · Syz Research

Tesla is on neither the Syz master list nor the focus list, and this update is not a recommendation to buy the share.

> **"We are in a huge investment cycle to set us up for the future. Therefore, as previously guided, operating expenses continue to increase sequentially."**
>
> Vaibhav Taneja, Chief Financial Officer, Q3 2026 earnings call, 21 October 2026

Key takeaways

Beat Adjusted EPS of USD 0.48, 9% above consensus, on flat revenue; reported EPS was USD 0.22.

Margin Automotive gross margin excluding credits rose to 18.1% from 16.3%, 1.4 points above consensus.

Watch Operating income fell 56% to USD 718m, a 2.6% margin, as AI and robotics spending lifted costs.

Valuation 223.7x forward earnings, 64% above the 2020 to 2026 average: the price discounts autonomy and robots.

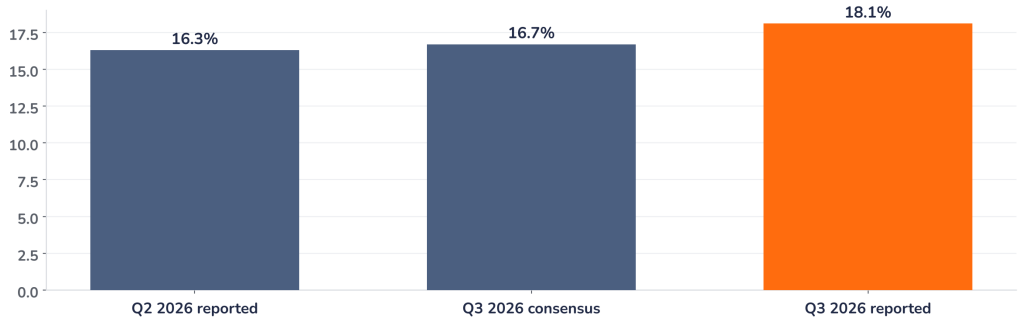
Revenue	Adjusted EPS	Auto gross margin excl. credits	Free cash flow
USD 28.05bn	**USD 0.48**	**18.1%**	**USD 1.53bn**
In line with consensus	+9.1% vs. consensus	+140bp vs. consensus	−62% y/y; capex +110%

Margins buy time for the AI investment cycle

The quarter was better than feared on profitability. The automotive gross margin recovered, energy and services margins rose, and free cash flow stayed positive despite heavy spending. Revenue, however, was flat and operating income fell 56%, as research and development for autonomy, Optimus and chips keeps lifting operating expenses. The core business is stabilising, but it does not yet carry a valuation built on robotaxis and humanoid robots.

Chart 1 · TSLA: automotive gross margin excluding regulatory credits

% of automotive revenue · Q2 2026 reported, Q3 2026 pre-results consensus and Q3 2026 reported



The margin recovery is the main positive surprise. At 18.1%, the automotive gross margin excluding regulatory credits is 1.8 points above Q2 and 1.4 points above consensus, helped by a higher share of deliveries in Asia-Pacific. Management flags rising commodity costs and interest rates as continuing headwinds, so we read the gain as mix, not as a new run-rate.

Base case and implications

Our stance on Tesla is neutral and cautious: USD 1.53bn of free cash flow and over USD 45bn of cash fund the build-out, but do not justify the multiple. The car business is stabilising, with the highest order backlog in four years, but the earnings base remains thin: 12-month forward consensus EPS is only USD 1.73. The valuation rests on autonomy, Optimus and the Terafab chip project, none yet generating revenue at scale, while capex will keep rising. Results move the share sharply: it fell 14.5% after the July print. The next tests are EU approval of Full Self-Driving and Cybercab launches beyond Austin.

What would strengthen our view

EU-wide approval of supervised Full Self-Driving by the first quarter of 2027. Cybercab launches in other cities before year-end, with the cost per paid mile approaching the USD 0.30 target. External Optimus deliveries around the end of 2027, as planned.

What would change our view

The automotive margin falling back below 17% as the Asia mix normalises. Capex and Terafab spending drawing on the new USD 30bn credit lines. Robotaxi miles failing to turn into revenue in 2027. A SpaceX combination on terms unfavourable to Tesla shareholders.

Beyond the key takeaways

Results: margins up, revenue and profit down

Revenue was USD 28.05bn, essentially flat on a year earlier, as automotive revenue fell 3% to USD 20.6bn. Deliveries of 486,532 vehicles were 2% lower, but this was the second consecutive quarter above 480,000 and Tesla ended the quarter with its highest backlog in four years, with deliveries limited by production. Full Self-Driving is the main demand driver: over 75% of North American buyers took a paid subscription at delivery, and the paid base passed 1.7 million customers. Energy storage deployments reached 13.7 GWh, the second-best quarter, with Megapacks for 2027 almost sold out, and services and other margins hit a record 15.9%.

Total gross margin rose to 19.6% from 18.0%, but operating income fell 56% to USD 718m, a 2.6% margin against 5.8% a year earlier, as AI compute, chip development and pre-production costs for Optimus, Megapack 3 and the Semi lifted operating expenses, which management expects to keep rising until these products are commercialised. The 33.1% energy gross margin was flattered by tariff refunds. Net income fell 43% to USD 787m, or USD 0.22 per share. Free cash flow fell 62% to USD 1.53bn as capex more than doubled to USD 4.7bn; cash and investments exceed USD 45bn.

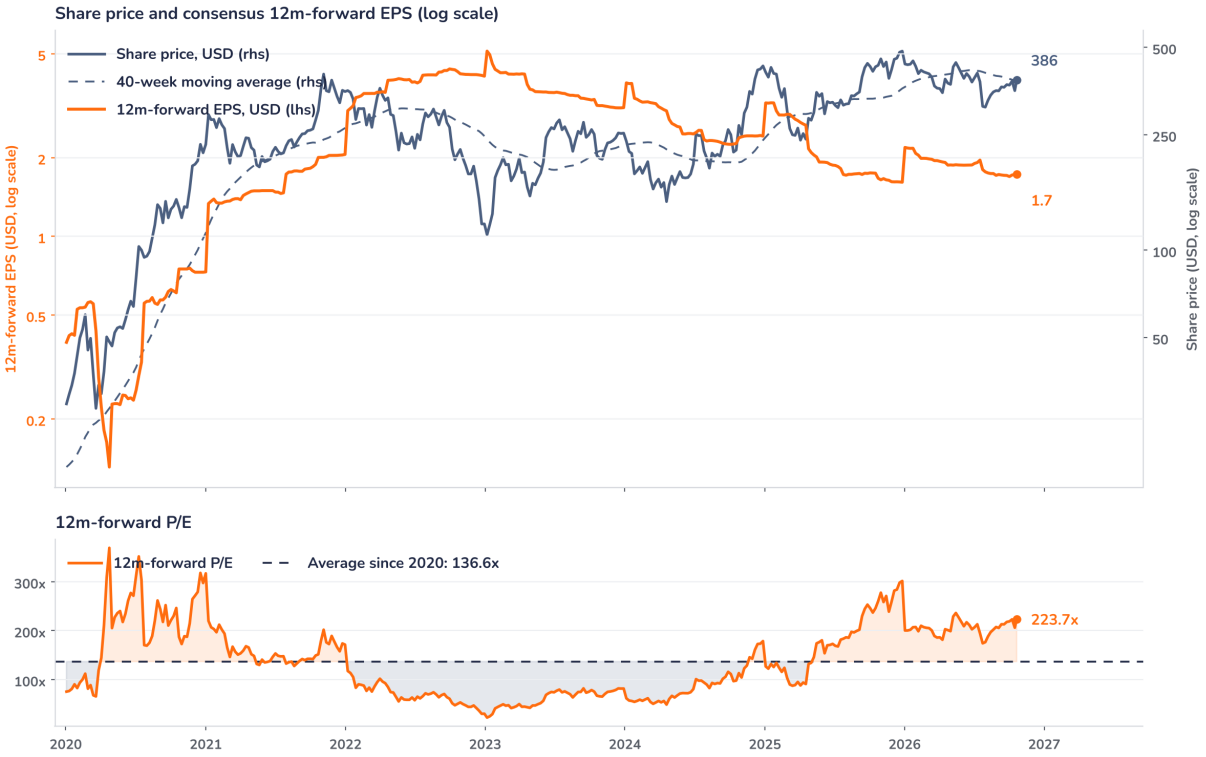
Outlook: capex rises, robotaxis scale in 2027

Capex guidance for 2026 was revised to about USD 20bn, funded mainly from operating cash flow, but management expects capex to keep expanding for several years with the robotaxi fleet, Optimus, solar, compute and a chip fab. Tesla secured USD 30bn of credit lines, undrawn this year. The Terafab will need tens of billions of dollars by early 2028 and over USD 100bn in the long run, shared with SpaceX in proportions still open. The CFO expects robotaxis to become a significant part of revenue and profit in 2027, and external Optimus deliveries are targeted around the end of 2027. A potential SpaceX merger was not discussed.

Valuation: the price runs ahead of earnings

Chart 2 · TSLA: share price vs. consensus earnings and valuation

Weekly, January 2020 to 21 October 2026 (window starts when 12m-forward consensus EPS turns positive) · last price is the 21 October close, before the release · 40-week moving average · log scale · P/E vs. its average since 2020



At USD 386.5, before the release, Tesla trades on 223.7x 12-month forward consensus earnings, 64% above its 136.6x average since 2020 and close to its one-year average of 218.5x. Over 12 months the share fell 13.9% while forward earnings rose 3.0%, but since the July results the price has rebounded 20.9% as forward earnings slipped 4.8%. The share sits just above its 40-week average of USD 383.6. At an unchanged price, consensus earnings would have to rise 64% to bring the multiple back to its 2020 to 2026 average.

SYZ Source: Syz Research, Bloomberg, Tesla Q3 2026 update and earnings call transcript of 21 October 2026, press reports

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